

BPSL-JSW DEAL

IRREPARABLY BROKEN CODE?

The Supreme Court order liquidating BPSL and striking down its sale to JSW Steel has far-reaching implications for the Insolvency and Bankruptcy Code and the economy

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PHOTO BY RACHIT GOSWAMI



BIG JOLT Though Sajjan Jindal-led JSW Steel's response to the Supreme Court verdict liquidating BPSL was measured, analysts see it as a negative for the firm

The judgement, among other things, has questioned JSW Steel's delay in implementing the resolution plan for BPSL and said the CoC "had played foul and not exercised its commercial wisdom in the interest of the creditors."

The key observations relate to JSW Steel filing a resolution plan well beyond the 330-day CIRP (Corporate Insolvency Resolution Process) limit, judicial overreach by NCLT and NCLAT (National Company Law Appellate Tribunal), and particularly in matters relating to the PMLA. "One of the most striking observations was the absence of well-maintained records or audit trail. The court has noted that plan modifications and negotiations continued long after the CoC had ceased to function legally," says Vivek Parti, an insolvency resolution professional. According to him, this may lead to institutional reforms mandating digital records and third-party audits.

JSW Steel's response to the stock exchanges following the liquidation order was measured. "We are yet to receive the formal copy of the order to understand the grounds for rejection in detail and its implications. Once we receive the order and are able to review the same along with our legal advisors, we will decide on our further course of action," it said.

The larger repercussions have not been missed out. M.S. Sahoo, Former Distinguished Professor at the National Law University, Delhi, and Founder Chairperson of the Insolvency and Bankruptcy Board of India, points out that though the judgement is legally sound, it has serious implications for the IBC and the economy. "Even if there were flaws in the resolution plan, the Supreme Court could have used its powers under Article 142 to rescue the company rather than liquidate it, while holding those responsible for the flaws to account. Once a resolution plan has been implemented with the approval of